



IAS PRELIMS 2020

TERMINOLOGY ...

FOR CRYSTAL CLEAR CLARITY

ECONOMY RELATED - V

MODULE - 8

IMPORTANT TERMINOLOGY**ECONOMY****41** LEGAL TENDER**42** FIAT CURRENCY**43** DEMOGRAPHIC DIVIDEND**44** INDUSTRY 4.0**45** EASY MONEY POLICIES**46** CREATIVE DESTRUCTION**47** SECURING THE UNSECURED**48** LOW EQUILIBRIUM TRAP**49** FISCAL STIMULUS**50** MONETARY STIMULUS

41

LEGAL TENDER

- ◆ Medium of payment recognised by law.
- ◆ In every country the national currency is the legal tender.
- ◆ A creditor is obligated to accept legal tender towards repayment of a debt.



It is not a legal tender!



42

FIAT CURRENCY

- ◆ It is Government-issued currency that is not backed by a physical commodity, such as gold or silver.
- ◆ The value of fiat currency is derived from the relationship between supply and demand and the stability of the Issuing Government.



Venezuela lost the value of currency in recent times!

CASE : 1

If each kg of rice costs Rs. 100, we will get 1 kg



CASE : 2

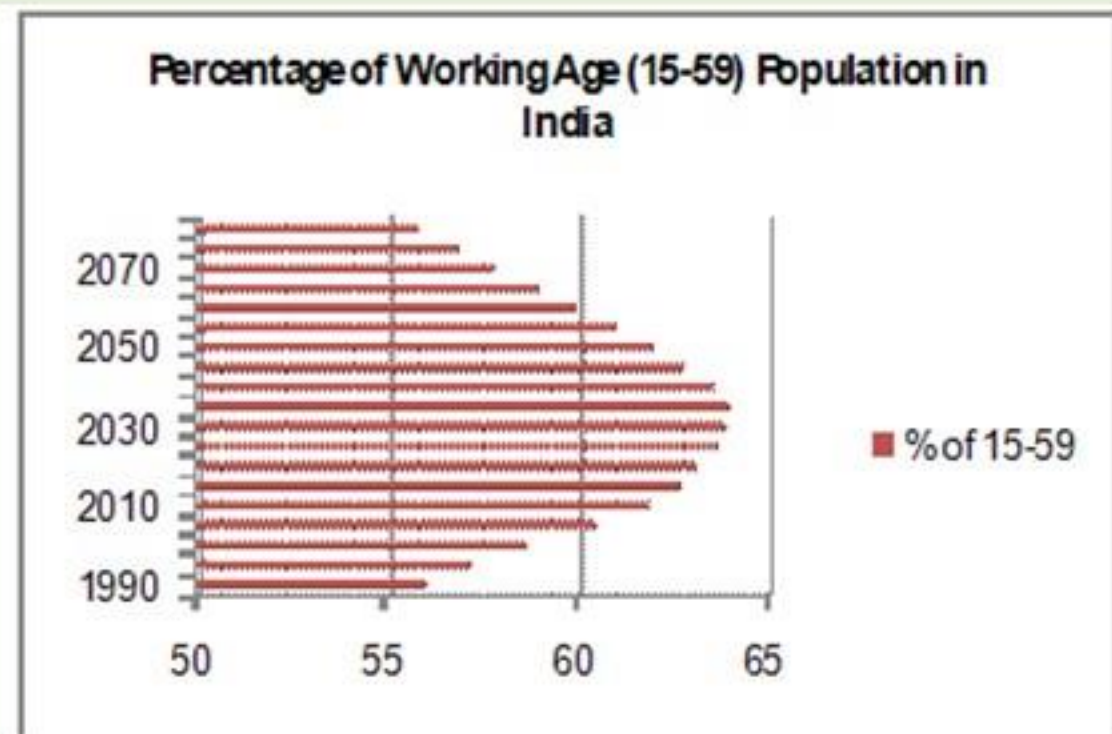
If each kg of rice costs Rs. 50, we will get 2 kgs



43

DEMOGRAPHIC DIVIDEND

- ◆ Demographic dividend refers to the growth in an economy, as a result of a change in the age structure of a country's population.
- ◆ It is the human potential a State can harness with rising working age (15-59 years) population and falling dependency ratio.
- ◆ The "demographic dividend" will end as its working-age population falls.



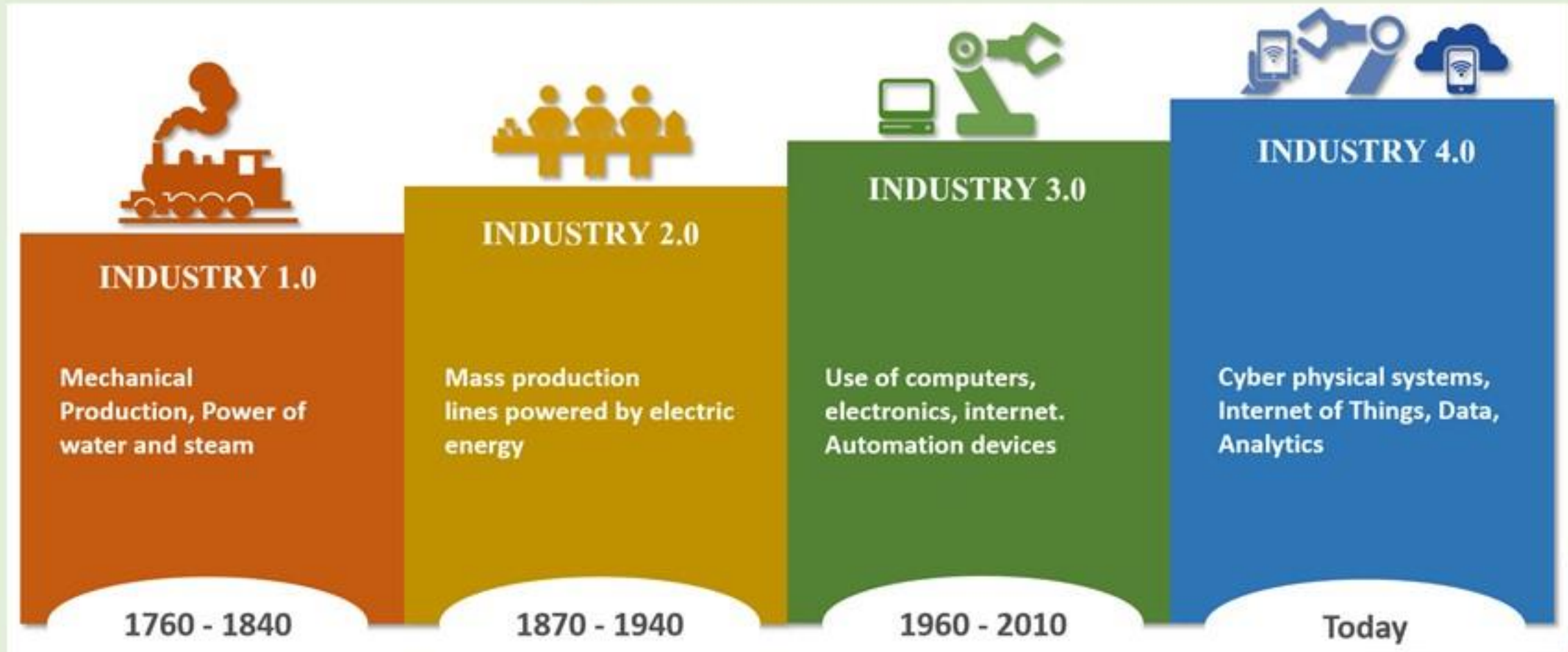
Source: United Nations World Population Prospects – The 2010 Revision



44

INDUSTRY 4.0

The technologies like Robotics, Artificial Intelligence, 3D Printing, Internet of Things, which may have the potential to disrupt the traditional sectors.



45

EASY MONEY POLICIES

- ◆ These are the policies initiated by the Central Banks to lower the interest rates.
- ◆ It is to keep more money in circulation.
- ◆ The expectation is that the lower borrowing costs can stimulate consumer borrowing, which in turn can increase demand for goods.



46

CREATIVE DESTRUCTION

- ◆ Creative destruction can be described as the dismantling of long-standing practices in order to make way for innovation.
- ◆ It treats economics as an organic and dynamic process.
- ◆ Economic development is the natural result of forces created by the opportunity to seek profit.



With assembly line production in 20th Century, several jobs were lost.



47

SECURING THE UNSECURED

1

MAKING CREDIT
AVAILABLE



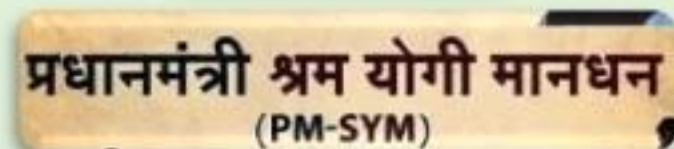
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ACCESS TO INSURANCE
PRODUCTS

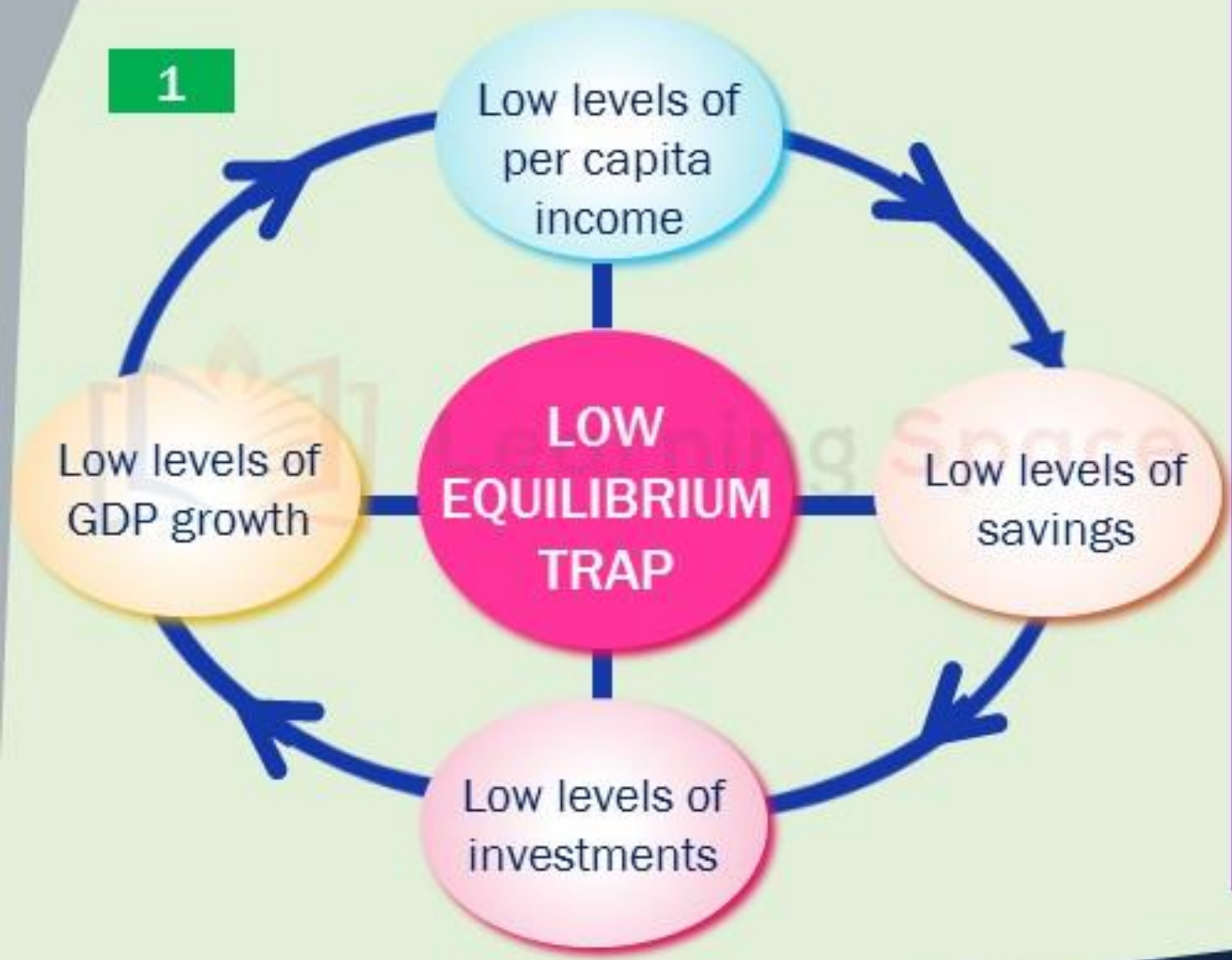


3

ACCESS TO PENSION
PRODUCTS



48 LOW EQUILIBRIUM TRAP



Low municipal taxes paid by the residents

Poor quality of services by the municipality



49

FISCAL STIMULUS

A fiscal stimulus entails the Government spending more from its own exchequer **or** slashing tax rates to put more money in the hands of consumers.

1



2



50

MONETARY STIMULUS

It is Central Banks expanding money supply **or** reducing the cost of money (interest rates) to increase consumer spending.



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